Building a trading system

A system is a set of rules you can test, follow and improve without renegotiating them mid-session. This is how one gets built, and how you know when it is finished.

What counts as a system

A system answers, in advance: which market, at what time, on what signal, at what stake, for how long, and when you stop for the day. If a question can only be answered in the moment, it is not a rule, it is a mood. Write the six answers on one page. If they do not fit on one page, the system is not finished, it is a collection of opinions.

Testing before funding

Run the rules over past data first, then forward on demo for at least fifty trades. You are looking for three numbers: the strike rate, the longest losing run, and the largest drawdown. If the longest losing run in testing would have frightened you, it will end you live, because live runs are always longer than the tested sample.

Drawdown control

Every system has a bad month. Decide in advance what a bad month looks like, in per cent, and what you do when it arrives: halve the stake, not the rules. Traders who change the rules in a drawdown discover afterwards that they abandoned a working system at exactly the point it would have recovered.

Reviewing without rewriting

Review weekly, change quarterly. A weekly review reads the journal and marks which trades broke the rules; a quarterly review is the only time the rules may change, and only on evidence from at least a hundred trades. This is the discipline that separates a professional routine from an expensive hobby.

> **This is the introduction, not the course.**
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> The full Professional course carries the lessons, the worked examples and the templates referenced here. It is on the Academy page at obisflow.com/academy.